EM EQUITY STRATEGY

Leaning In as Growth Revives; Raising India back to Overweight

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India: A significant laggard in a record EM year

Indian equities have been modestly up (+3% in USD) this year in what has been one of the strongest years for EM (+30%). This significant underperformance - largest in the past two decades – was triggered by a mix of peak starting valuations and cyclical growth and profit slowdown expectations that led us to downgrade our view on India in October last year. As the year progressed and earnings cuts materialized, tariff headwinds soured sentiment further and led to large foreign de-risking. We now see a case for Indian equities to perform better over the coming year.

The case for a reversal

- **Growth-supportive policies:** Easing measures from RBI announced this year (rate cuts, improved liquidity, bank deregulation), GST cuts, and slower fiscal consolidation ahead should aid growth recovery over the next two years.
- **Earnings Revival:** The year-long EPS downgrade cycle has lasted longer than typical median cycle (10 mos) and stabilized over the past three months. 3QCY25 results are tracking better vs. low expectations leading to upgrades in select pockets. We expect MSCI India profits to recover from 10% this year to 14% next year, aided by better nominal growth environment.
- **Significant under-positioning:** Foreigners have net sold US$30bn over the past year (second largest historically) pushing foreign ownership and mutual fund allocations near two-decade lows. However, recent reversals suggest improving foreign risk appetite and flows as earnings recover. Potential moderation in US trade tensions could act as an additional market catalyst.
- **Defensible Valuations:** At 23x PE - valuations remain high, but we see modest de-rating risk (-5% base-case / -9% risk-case) based on six different valuation approaches. India's relative premium to Asia has normalized (85-90% peak to 45% currently), historically leading to moderate outperformance.

How to position? OW India; Favor Consumer, Financials & domestic themes

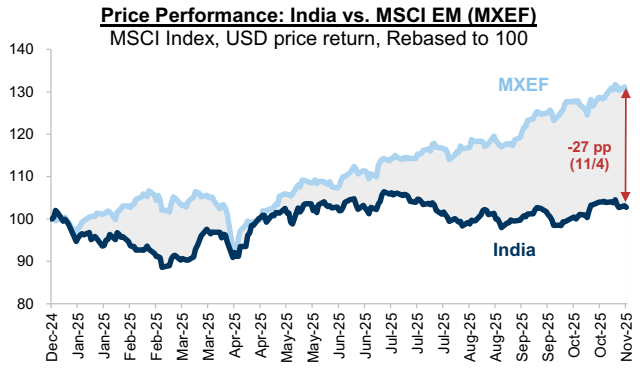
We raise India equities to OW, with NIFTY end-2026 target of 29000 (+14% upside). We favor financials, consumer sectors (staples, durables (u/g), autos), defense (u/g), TMT and OMCs. Key themes: **Mass-consumption revival**, **Self-sufficiency**, **New Economy,** and **High Growth** pockets. Risks: earnings shortfall, external headwinds and investor concerns over AI impact.

Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html.

2025 in context: A significant underperformance driven by earnings downgrades and foreign de-risking

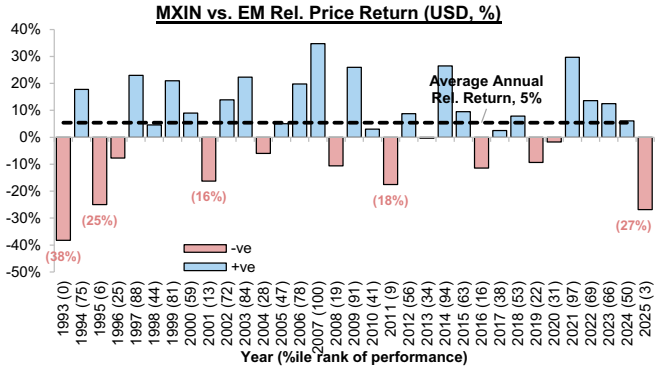
Indian equities have had a lackluster year, with the key indices like NIFTY and MSCI India still trading below their late September 2024 peak levels a year ago. This is in sharp contrast to the broader Emerging markets that have seen one of the strongest years in the past 8 years. India has thus been a major laggard in 2025, with MSCI India underperforming MSCI EM by nearly 25pp this year**, its largest underperformance in the past two decades**. This significant underperformance was triggered by a combination of peak starting valuations last year and expectations of a cyclical slowdown in growth and corporate earnings - that led us to downgrade our view on Indian equities in October last year. As the year progressed and earnings downgrades materialized, unfavorable macro and geopolitical news flow in the form of large US-tariffs (on account of Russian oil imports) and a steep increase in the cost of issuing H1B visas further soured market sentiment. Consequently, foreign investors sold US$16bn ytd and nearly US$30bn over the past year, making India among the worst performing large EM equity market this year.

Exhibit 1: Indian equities have lagged the broader EM equities by nearly 25pp this year...



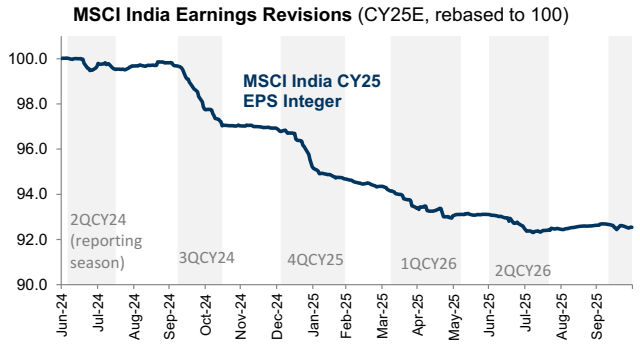
Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 2: ...which is the largest underperformance in two decades



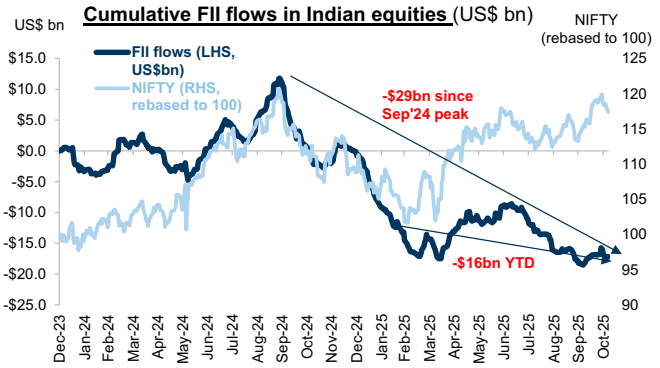
Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 3: Earnings have been going through a downgrade cycle over the past year...



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 4: ...which led foreign investors to sell US$16bn this year and nearly US$30bn over the past year



Source: Bloomberg, Goldman Sachs Global Investment Research

Case for reversal: Supportive Policy, Earnings Revival, Significant Under positioning, Defensible Valuations

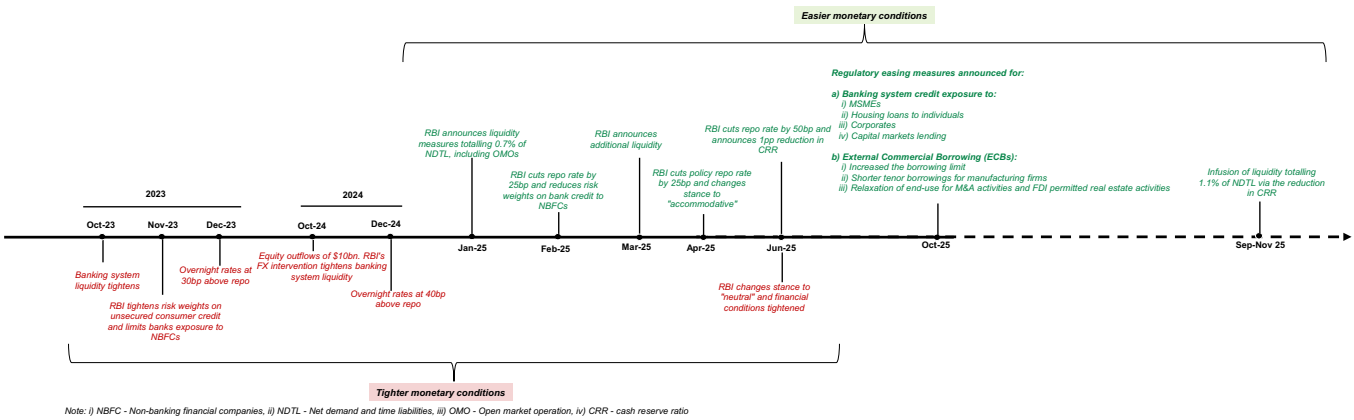
With a year-long earnings downgrade cycle stabilizing in the past few months and showing signs of recovery, coupled with our expectations of policy-driven easing financials conditions going forward, **we now see a case for Indian equities to perform better over the coming year** and moderate its significant underperformance vs. the region. We detail the key arguments below:

1) Supportive policy: Series of regulatory easing measures announced this year should aid growth recovery over the next two years

As we have been noting in our recent reports, RBI has delivered 100 bp rate cuts in 2025 – the fastest repo rate easing cycle (apart from the pandemic) since GFC, improved banking system liquidity conditions, and a sequence of regulatory relaxations since the start of this year. These include lower risk weights on bank lending to NBFCs in February, followed by 1pp cut in the cash reserve ratio announced in June to be phased through September to November 2025, and broader regulatory easing for banks and ECBs in October (which we estimate can potentially free up around 2pp of banking system credit). Given typical transmission lags, our economists expect these measures to ease financials conditions going forward and aid economic growth recovery over the next two years.

On the fiscal front, the government's targeted consolidation over the next two years is less pronounced than in the past few years, suggesting peak fiscal drag is behind us. This along with personal income tax cuts and the recent GST rate cuts, should boost mass consumption recovery, that was already underway before the GST simplification. On the investment front, while elevated trade uncertainty has dampened corporate capex ordering activity this year, we expect US-India tariffs to ultimately settle at lower levels, which should foster a recovery.

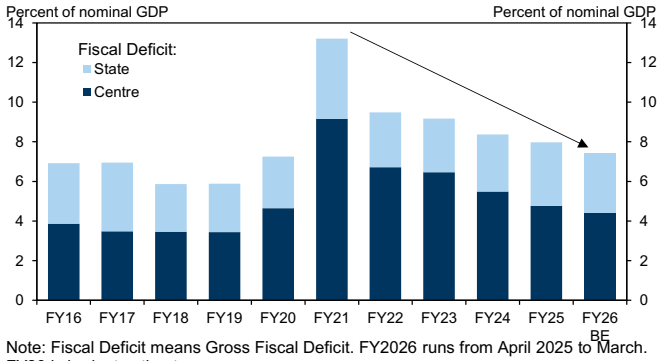
Exhibit 5: The RBI undertook a series of policy measures to ease monetary conditions from the beginning of CY25



Note: i) NBFC - Non-banking financial companies, ii) NDTL - Net demand and time liabilities, iii) OMO - Open market operation, iv) CRR - cash reserve ratio

Source: RBI, Goldman Sachs Global Investment Research

Exhibit 6: Slower fiscal consolidation by the central government going forward



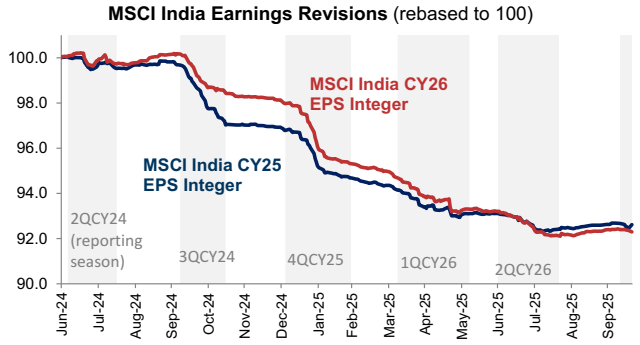
Note: Fiscal Deficit means Gross Fiscal Deficit. FY2026 runs from April 2025 to March. FY26 is budget estimate.

Source: Union Budget documents, Goldman Sachs Global Investment Research

2) Earnings revival: We think the year-long earnings downgrade cycle, which was a primary reason for lowering our Indian equity market view last year, has bottomed out and will see recovery as we head into next year. MSCI India EPS revisions for this year and next have stabilized over the past three months and are starting to see upgrades in select pockets. Benchmarking the current earnings cycle to prior cycles, we note that the current year-long EPS downgrade cycle is already longer than the median cycle of 10 months over the past two decades. The recent reporting season is showing signs of improvement against low consensus expectations, with MSCI India 3QCY25 profits tracking a bit better-than-expected (+10% yoy), and an average earnings surprise of +2% led by commodities and Financials.

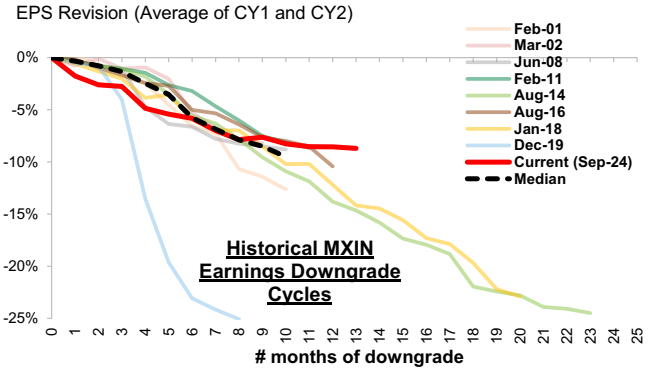
Looking forward, we expect MSCI India profit growth to recover from expected 10% this year to 14% next year and in 2027, slightly below the consensus expectations of 15% earnings growth for this year and next. At the macro level, a better nominal GDP environment (Nominal GDP growth to rise to 11% by 2027 vs. 9% this year) should be supportive for corporate revenues and earnings. A combination of easing financial conditions, uptick in consumption demand and earnings from the GST rate cuts (beyond temporary n/t impact from GST transition) on top of already strong rural cycle and recent bank deregulations could help revive economic growth and profits over the next two years. Sectorally, we expect financials, commodity sectors (materials, energy) and domestic cyclicals to be the major contributors of overall index earnings next year. In terms of sales vs. margin mix, we expect MSCI India non-financials revenues to grow from the expected 7% this year to 9% each in CY 2026/27, and non-financial margins to modestly expand 40bp each over the next two years.

Exhibit 7: India's earnings downgrade cycle has bottomed, with stable EPS revisions over the past three months...



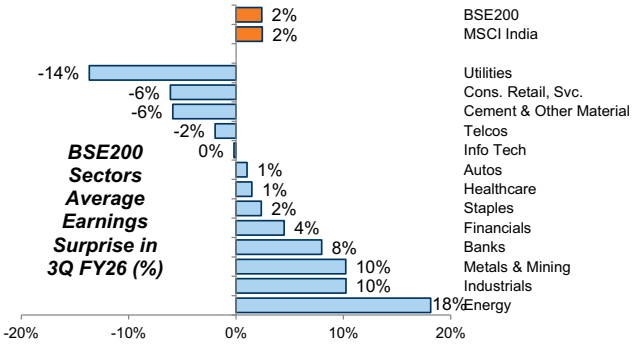
Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 8: With the current EPS downgrade cycle already longer than the median cycle (10 months) over the past two decades



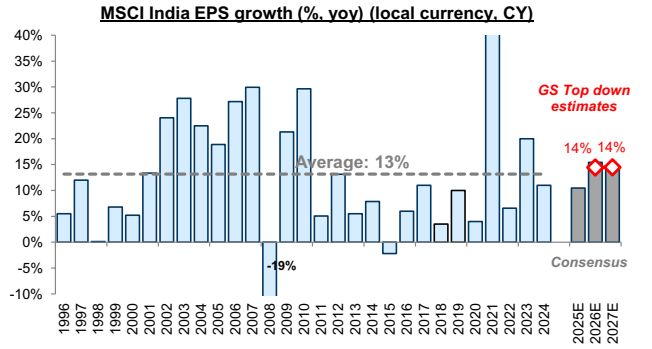
Source: LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 9: Earnings are tracking in line with consensus estimates, with an average surprise of +2%, led by commodities and banks



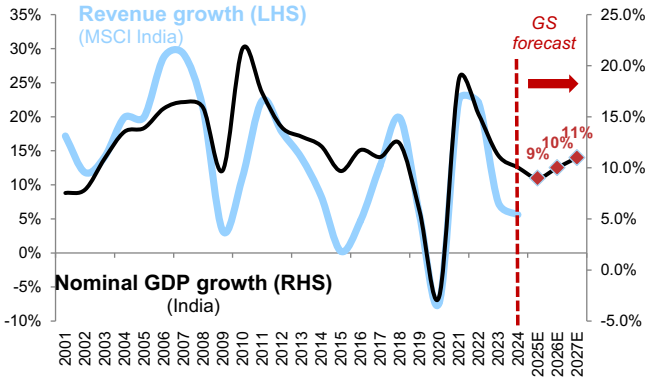
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 10: We forecast MSCI India profit growth to recover from expected 10% this year to 14% next year and in 2027...



Source: FactSet, MSCI, I/B/E/S, Goldman Sachs Global Investment Research

Exhibit 11: ...with Nominal GDP growth recovery an important driver of earnings growth



Source: Goldman Sachs Global Investment Research

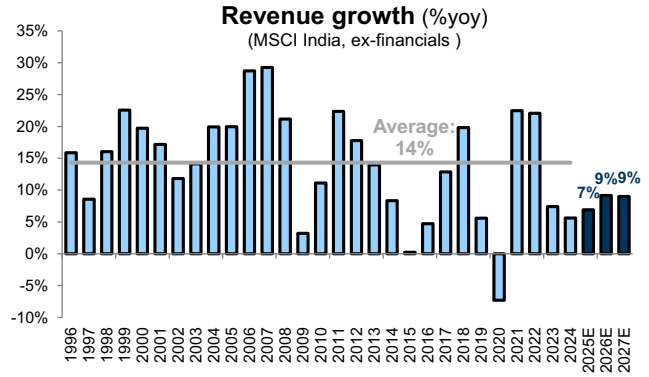
Exhibit 12: We expect commodity-sensitives to see EPS upgrades, and exporters to see EPS downgrades over the next 2 years

CY26/27E EPS CAGR (GS vs. Consensus)

MSCI India Sectors	Consensus	GS	Difference
Commodity-sensitive	11%	12%	1 pp
Financials	15%	15%	0 pp
Consumer-sensitive	16%	16%	0 pp
Defensives	24%	23%	-1 pp
Capex-sensitive	21%	20%	-1 pp
Exporters	9%	6%	-3 pp
Ex-financials	**15%**	**14%**	**-1 pp**
Overall	**15%**	**14%**	**0 pp**

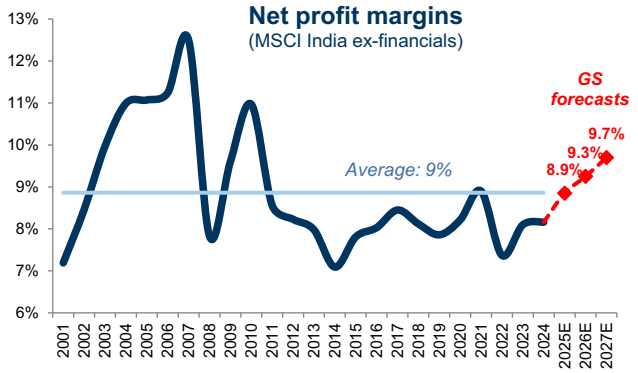
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 13: We expect MSCI India non-financials revenues to grow from expected 7% this year to 9% in CY 2026/27…



Source: Goldman Sachs Global Investment Research

Exhibit 14: …and margins to modestly expand by 40bp each in 2026/27

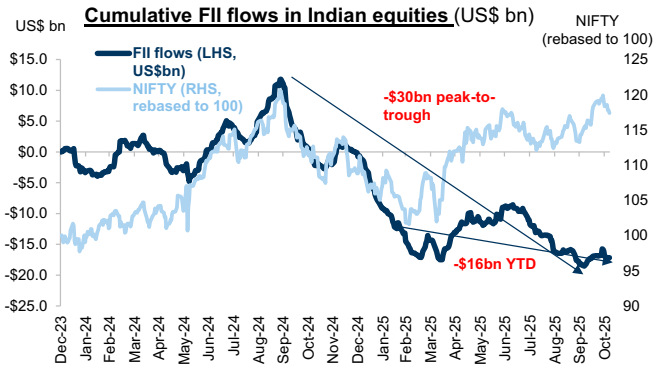


Source: Goldman Sachs Global Investment Research

3) Significant foreign under-positioning: Amid slowing growth, earnings downcycle and tariff headwinds, India has largely been a funding market this year for foreign investors. FII (foreign institutional investors) have nearly sold US$30bn in Indian equities since the September 2024 peak a year ago and US$16bn ytd. The peak-to-trough foreign selling over the past year has been the second largest absolute amount of selling in India's history over the past two decades. Consequently, mutual fund exposures in India have continued to decline and are currently near a two-decade low relative to benchmark weights across mandates based on latest EPFR data. The foreign ownership data (while a bit lagged) corroborates these trends with overall foreign ownership in BSE 200 and listed equities standing at multi-year lows. Over the past month, foreign flows and allocation data shows early signs of reversal. We think foreign risk appetite and flows towards India could improve further over the coming year as earnings recover.

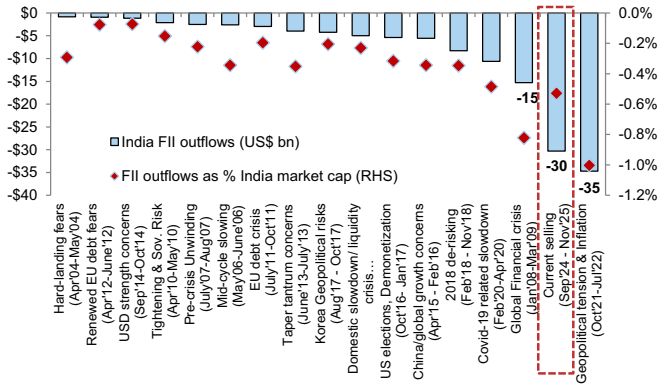
On the domestic front, liquidity remains supportive. While foreigners have continued to de-risk for most part of the past year, domestic institutions, supported by ongoing retail/SIP flows, have continued to be record buyers (US$70bn+ ytd) and have helped absorb the record supply of equity issuances (IPOs, QIPs, block deals) in the market. While large equity supply remains a market risk, especially if domestic flows moderate, still low household equity allocations and structural theme of financialization of savings suggests retail/SIP demand for equity could be sticky. Moreover, current supply (as a % of listed market cap) is still below thresholds where historically supply has weighed on market valuations (0.1% monthly issuance rate over the past 24 months vs.0.15% threshold).

Exhibit 15: Foreign investors have nearly sold US$30bn in Indian equities since peak in September 2024 (and US$16bn ytd), weighing on Indian equities...



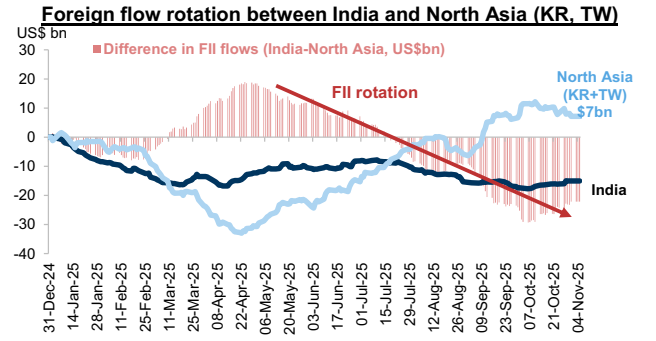
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 16: ...which is the second largest absolute $ amount of selling in India's history over the past two decades



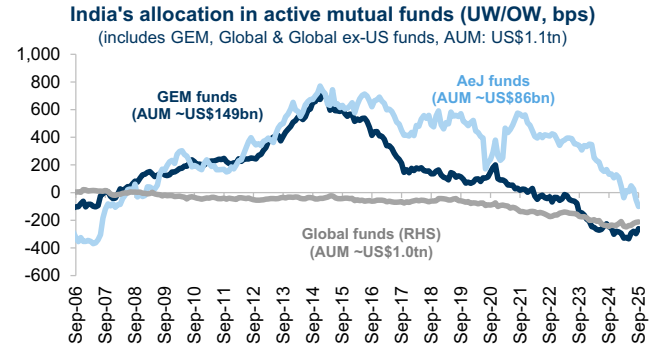
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 17: Foreign flows have rotated from India into North Asian markets of Taiwan and Korea that have benefited from AI optimism and domestic corporate reforms



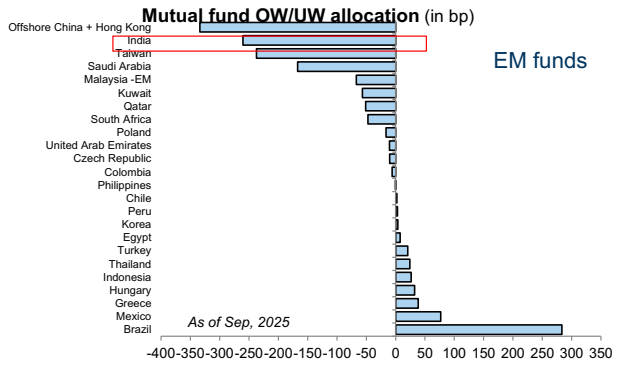
Source: Bloomberg, Local Exchanges, Goldman Sachs Global Investment Research

Exhibit 18: Exposure of active mutual funds globally to India is near a 2-decade low, relative to benchmark...



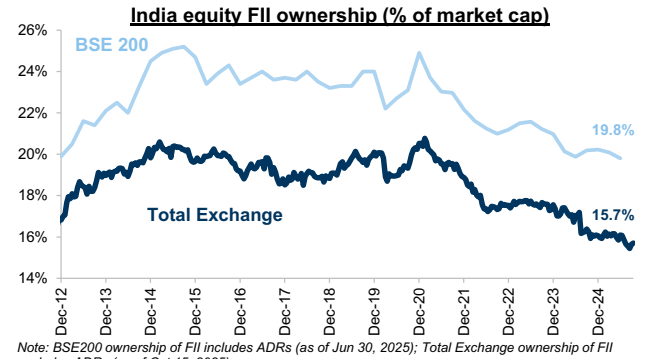
Source: EPFR, FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 19: ...with India as the second largest underweight market in EM funds



Source: EPFR, MSCI, FactSet, Goldman Sachs Global Investment Research

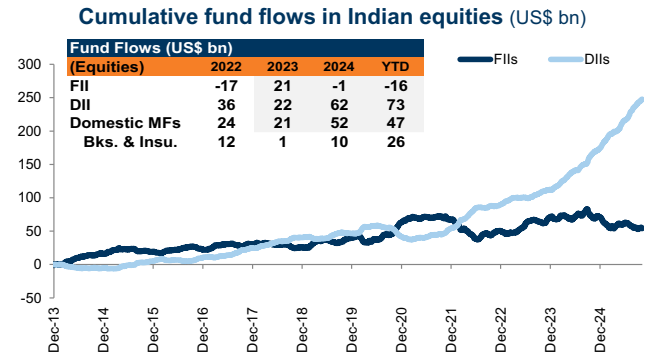
Exhibit 20: Foreign ownership in BSE200 companies is at a multi-year low



Note: BSE200 ownership of FII includes ADRs (as of Jun 30, 2025); Total Exchange ownership of FII excludes ADRs (as of Oct 15, 2025).

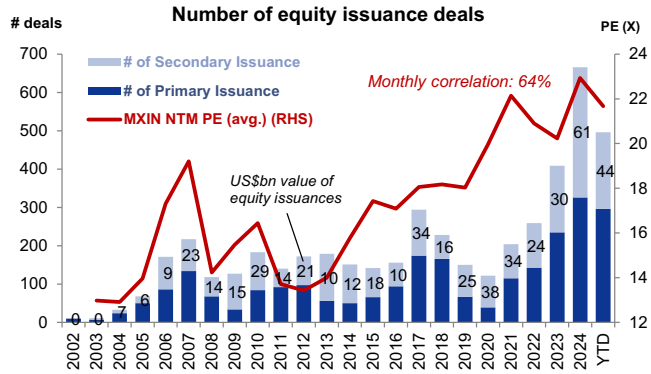
Source: Capitaline, Goldman Sachs Global Investment Research

Exhibit 21: While foreigners have been large sellers over the past year, domestic institutions have continued to be record buyers (US$70bn+ ytd) supported by retail/SIP flows...



Source: Capitaline, Goldman Sachs Global Investment Research

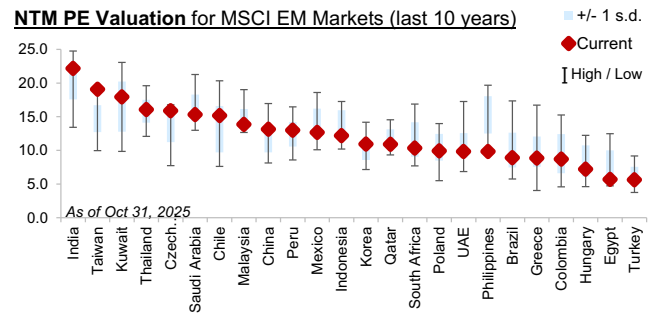
Exhibit 22: ... and have absorbed the record supply of equity issuances since last year



Source: FactSet, Bloomberg, Goldman Sachs Global Investment Research

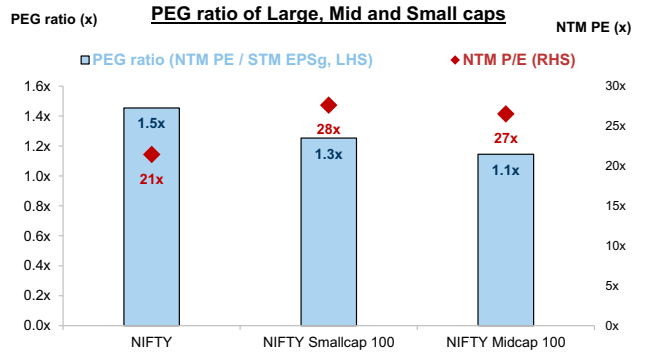
4) Defensible Valuations: While India's high valuation has been the most common investor concern and at c. 23x 12-month forward valuations, India remains the most expensive market in EM, we expect moderate de-rating of 5% in our base case and 9% in our bear-case scenario over the next two years, based on various valuation approaches as outlined in our deep-dive report on India's Valuations (see 'Defensible Valuations', November, 2025). While Small and Midcaps (SMIDs) are more expensive (NTM PE at 27-28x) than large caps, they look reasonable in terms of PEG ratios when adjusted for expected earnings growth. Moreover, India PE valuation premium vs. Asian region (MXAPJ) has come down from 85-90% peak over the past two years to 45% currently, close to 20-year average of 35%. History suggests at current levels of PE premium, India has modestly outperformed the Asian region over the next 6-12 months.

Exhibit 23: India remains the most expensive market within the EM region



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

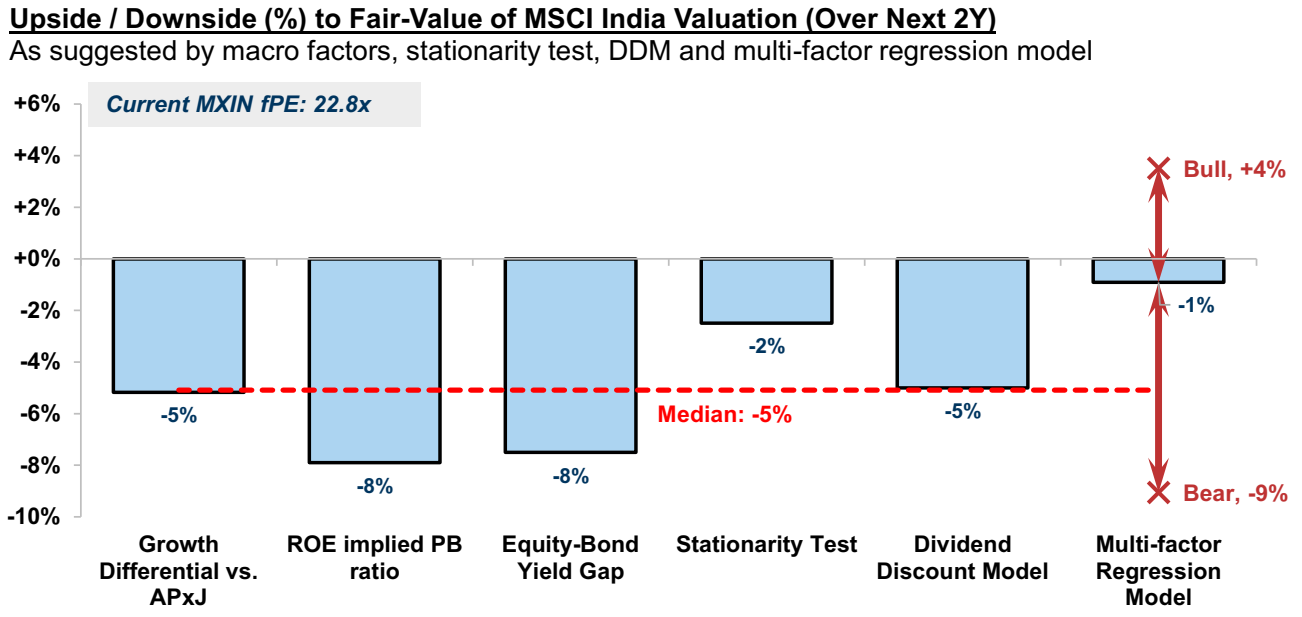
Exhibit 24: SMID (Small and Mid) caps trade at even higher PE multiples, although look reasonable when adjusted for growth



Based on current index constituents.

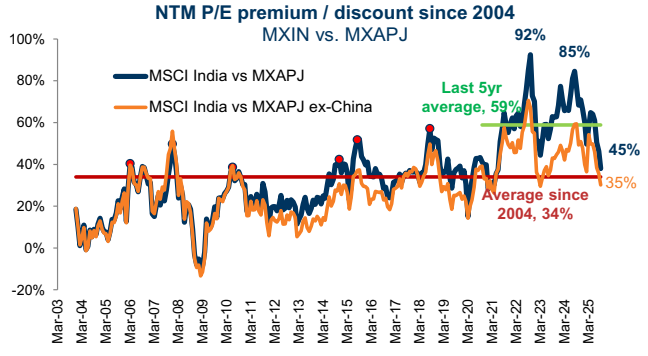
Source: Goldman Sachs Global Investment Research

Exhibit 25: De-rating risk is modest from current levels, based on various valuation approaches; Over the next two years, we forecast India's fair-value at -5% from current levels in our base case and -9% in our bear-case



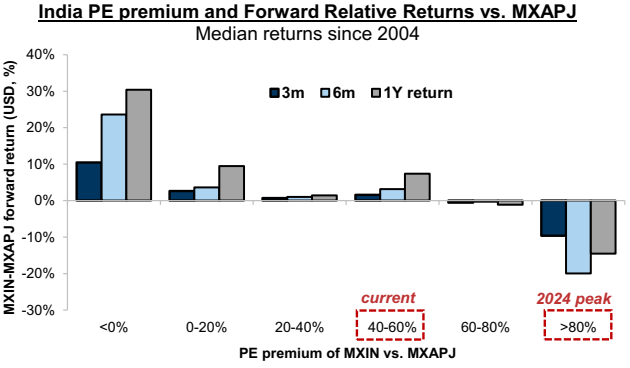
Source: Goldman Sachs Global Investment Research

Exhibit 26: India's valuation premium vs. the MXAPJ region has come down closer to long-term average levels



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 27: History suggests at current levels of PE premium, India has modestly outperformed the Asian region over the next 6-12 months



Source: Goldman Sachs Global Investment Research

How to position? Raise India to OW; Financials and Consumers sectors to lead

Raise Indian equities to overweight

We raise India equities to Overweight within our EM and Asian allocation and expect NIFTY to reach 29000 by end-2026, which implies 14% upside, led largely by underlying 14% trend earnings growth in 2026/27.

Sectors: Favor domestics – Consumer and Financial sectors to lead

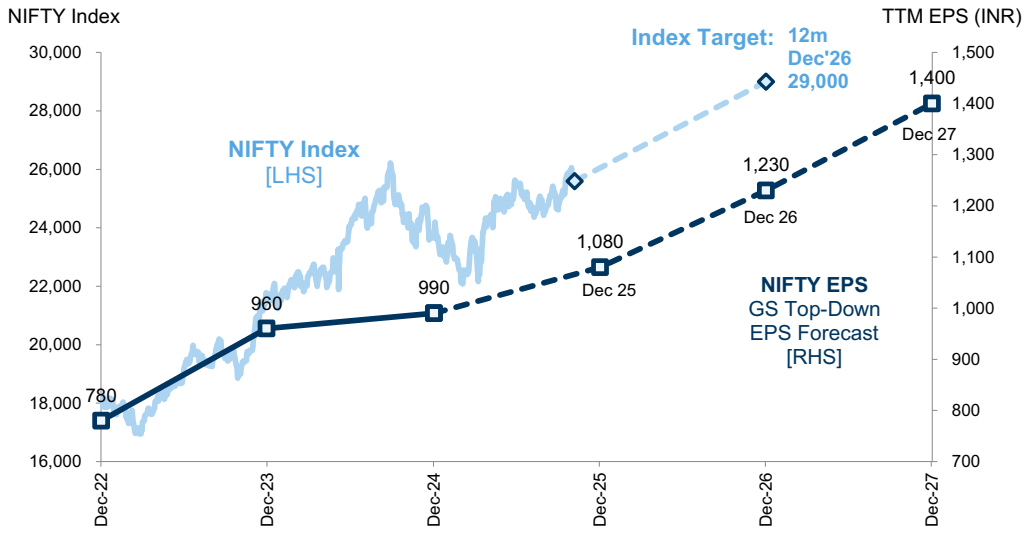
We remain positive on the consumer sectors like **staples and autos**, and **upgrade durables** to overweight as we expect ongoing mass consumption recovery to gather steam over the next two years amid low food inflation, strong agricultural cycle, lagged effects of GST rate cuts, upcoming elections in key states through 2026-27 and potential wage hikes from the 8th Pay Commission. In case of Staples, the stocks have given back most of their post GST-announcement gains due to channel destocking, but we expect recovery in volumes from the next quarter onwards. Autos, on the other hand, have rallied 10% since GST announcement in mid August, but we expect further gains over the next year as volumes recover and earnings accelerate given easier base, under penetration and tailwinds from easier financial conditions and consumption recovery. We lower consumer retail and services sector to neutral given heightened competitive intensity across the major discretionary categories excluding Jewelry (Paints, QSR, Fashion).

We also expect **Financials** to do well over the next year, along with consumer sectors. As we noted in our recent report, we think RBI recently announced capital-easing measures should support private credit growth over the next 2 years. With stabilizing asset quality and bank deregulation tailwinds, we expect banking profits to grow 15% in CY26E, up from 8% this year, aided by loan growth recovery in banks. With the sector still under-positioned and trading at mid-cycle valuations, we think risk-reward looks favorable.

We raise **defense sector to overweight** given high visibility on the order book over the next few years amid increasing emphasis by the government on indigenization and self-sufficiency. While valuations for the sector are high, we think defense stocks with competitive moats and steep earnings growth trajectories, especially the private sector companies are likely to enjoy richer valuations, and the risk-reward for the sector has improved after the pullback in the stocks over the past year. Elsewhere, we remain overweight high growth internet and telcos sectors and OMCs (Oil Marketing Companies) given healthy marketing and refining margins in a lower oil price environment.

On the funding side, we are underweight the exporters – Pharma and Infotech (downgrade); Industrials and chemicals. We are cautious on the large cap generic pharma names given large earnings headwinds over the next few quarters (Revlimid cliff impact). In the Infotech sector, growth visibility remains low suggesting further earnings risk, valuations remain at a premium to the global peers and impact of AI is still uncertain with more downside than upside risks. On the Infrastructure side, while we are seeing some nascent signs of private capex announcements, ordering remains tepid and government spending could continue to moderate in the coming year.

Exhibit 28: We expect NIFTY to reach 29,000 by end-2026, implying 14% upside from current levels



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 29: We stay OW financials, OMCs and consumer-sensitive pockets of autos, staples, telcos and internet; We raise defense and durables to OW and metals & mining to MW; On the funding side, we downgrade IT to UW and stay UW on industrials, pharma and chemicals

				Consensus estimates		Current Valuation		
MSCI India GS Sectors	GS Allocation	NIFTY weight (%)	MSCI India weight (%)	CY26E EPS growth (yoy)	CY27E EPS growth (yoy)	NTM P/E (X)	LTM P/B (X)	PEG ratio (2026 PE / 2027 EPSg)
Financials (Banks, NBFCs)	OW	36%	27%	14%	16%	17	3	1.0
Autos	OW	7%	8%	12%	14%	26	5	1.7
Staples	OW	7%	6%	13%	13%	45	11	3.4
Internet & Telco	OW	7%	6%	85%	50%	58	10	1.1
Defense ⇧	OW	1%	2%	15%	17%	41	12	2.4
Oil Marketing Cos. (OMCs)	OW	0%	1%	5%	(4%)	9	2	NM
Durables ⇧	OW	0%	1%	22%	21%	53	13	2.5
Energy (Refiners, E&P)	MW	10%	8%	11%	9%	17	2	1.8
Cons. Retail, Apparel & Services ⇩	MW	2%	3%	28%	23%	63	17	2.7
Metals & Mining ⇧	MW	3%	4%	25%	15%	14	2	0.9
Utilities	MW	3%	4%	13%	11%	16	2	1.4
Cement	MW	2%	2%	33%	22%	46	4	2.0
Insurance	MW	1%	2%	14%	16%	54	9	3.5
Real Estate	MW	0%	2%	24%	27%	34	5	1.2
Industrials (ex-Defense)	UW	6%	6%	23%	17%	31	7	1.7
Pharma	UW	4%	6%	8%	12%	32	5	2.5
Infotech ⇩	UW	10%	9%	10%	8%	22	7	2.5
Chemicals & Other Materials	UW	1%	2%	25%	18%	36	6	1.9
MSCI India		100%	100%	15%	15%	22.7x	3.8x	1.5x

Source: FactSet, I/B/E/S, Goldman Sachs Global Investment Research

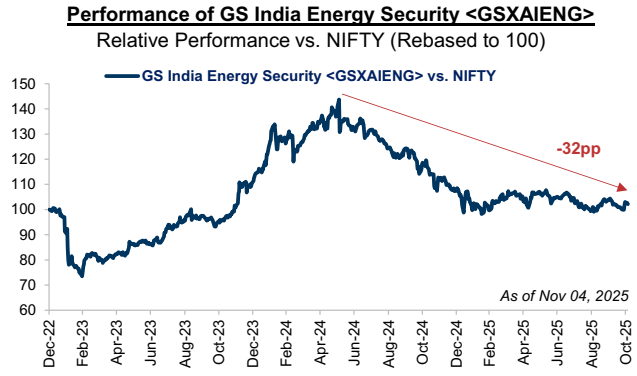
Themes and Implementation

For investors looking to engage in Indian equities, we highlight 4 thematic ideas for targeted alpha exposure: **domestic self-sufficiency, mass-consumption revival, new economy sectors and high growth pockets at reasonable valuations.**

1) Domestic self-sufficiency

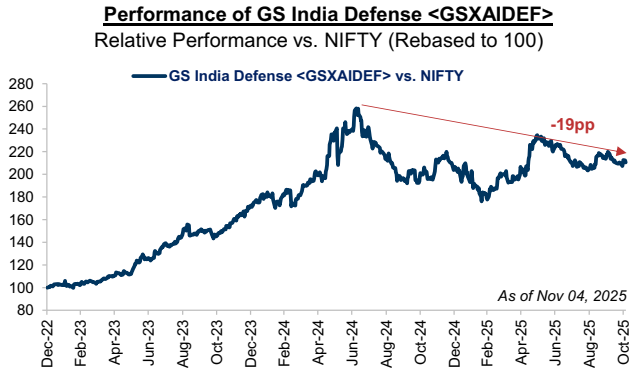
With heightened geopolitical risks regionally and globally, there has been an increasing focus on the need for government to be 'self-sufficient'. We think policymakers will continue to spend on strategically important sectors like power/energy security and defense. With power deficit risks likely to return and government's aim for energy independence by 2047, we think sectors like power, renewable energy, energy storage and EVs will be key beneficiaries in the medium-term. In defense, there is increasing emphasis by the government on indigenization, as has been the case over the years: foreign procurement by the armed forces has declined significantly from 62% in FY02 to 12% in 9MFY25. Our GS Energy Security (GSXAIENG) and GS India Defense (GSXAIDEF) baskets have underperformed NIFTY by 32pp and 19pp respectively from peak levels since mid last year, and offer good entry points.

Exhibit 30: GS India Energy Security basket has underperformed NIFTY by 32pp from peak since mid last year



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 31: GS India Defense basket has underperformed NIFTY by 19pp from peak since mid last year

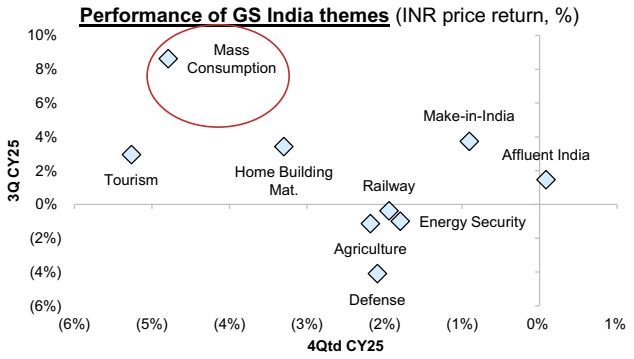


Source: Bloomberg, Goldman Sachs Global Investment Research

2) Mass-consumption revival / GST beneficiaries

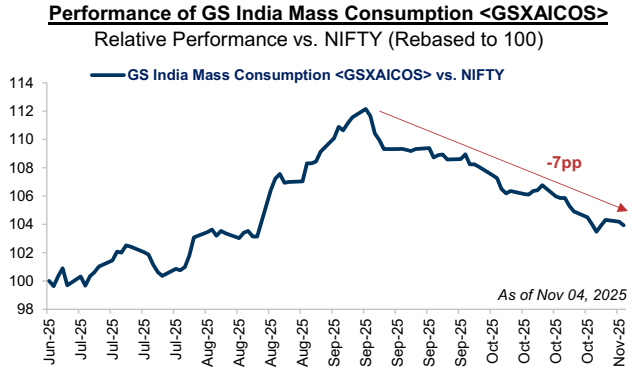
We expect mass consumption recovery to continue through 4Q CY25 all the way into CY26, amid low food inflation, strong agricultural cycle, upcoming elections in key states (TN, WB, UP, GJ) through 2026-27, potential wage hikes from the 8th Pay Commission, lagged effects of GST rate cuts and personal income tax cuts, and tailwinds from easing financial conditions. Mass consumption (GSXAICOS) was the best performing theme in Q3, but has since gone out of favour, underperforming NIFTY by 7pp in since Sep-peak, retracting most of the gains from 3Q.

Exhibit 32: Mass consumption was the best performing theme in 3Q, but has been among the weakest performing themes in 4Qtd



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 33: Mass consumption theme has retracted most of its relative gains from the last quarter

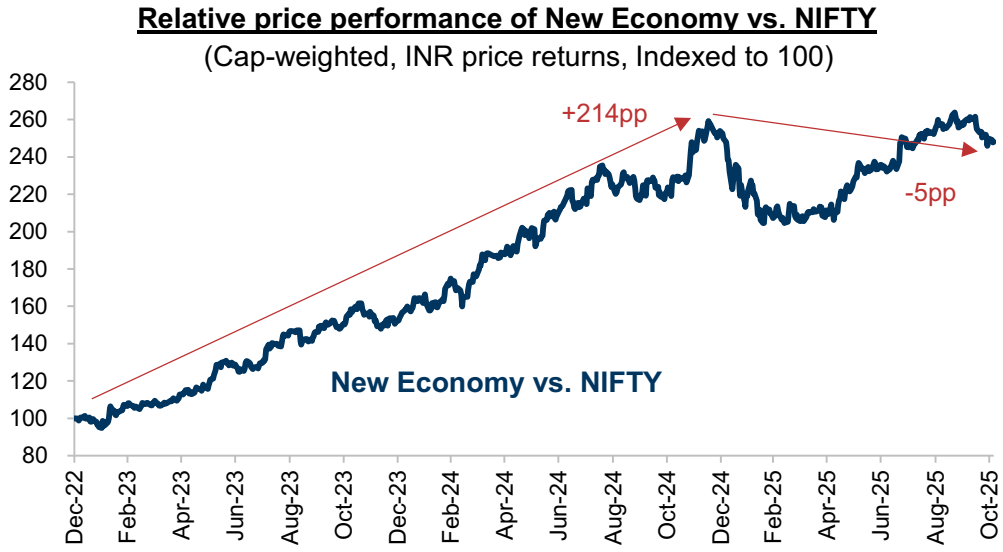


Source: Bloomberg, Goldman Sachs Global Investment Research

3) New economy

Our medium-term constructive view on India is underpinned by the secular growth potential of new economy sectors in India. Large headroom in consumption growth should continue to drive digitalization of consumption and services across quick commerce, online travel, HPC services and digital payments. Government's increasing focus on indigenization of defense technology makes us constructive on white spaces in defense systems and components such as aero components and Radar electronics, and policy support for energy transition creates tailwinds in electric mobility. We screen for new economy stocks within BSE 200 and GS coverage universe, which are exposed to internet consumption pockets, defense white spaces and electric mobility. Our screen saw a strong and steady rally over the past couple of years, outperforming NIFTY by over 200pp between 2022-24. However, amid a broad market risk-off in Indian equities this year, the theme has underperformed by c.5pp, and offers a reasonable entry point.

Exhibit 34: New Economy theme has underperformed NIFTY this year, after a strong and steady rally over the past couple of years



Source: Goldman Sachs Global Investment Research

Exhibit 35: We screen for New Economy stocks that are exposed to evolving tech segments like Defense Communication, Electric Mobility and Internet services like quick commerce, travel and digital finance

					>$1bn	>US$3mn					
					Size and Liquidity		Growth		Valuations		
BBG Ticker	Company Name	Industry	Quoted Price		Listed Market Cap (US$bn)	6M ADVT (US$mn)	FY24-25 Sales CAGR (%)	CY26E Sales Growth (%)	NTM P/E (x)	2026 P/S (x)	Exposure (Internet, Defense Components, Fintech, EVs)
New Economy					*(sorted)*						
ETERNAL IS	Eternal (Zomato)	Restaurants	INR	322	35	163	69	92	83x	3x	Internet (Quick Commerce)
BHE IS	Bharat Electronics	Aerospace & Defense	INR	422	35	97	16	17	39x	8x	Defense Components
SWIGGY IS	Swiggy Limited	Restaurants	INR	403	11	75	36	34	NM	3x	Internet (Quick Commerce)
POLICYBZ IS	PB Fintech	Insurance Brokers	INR	1,811	9	31	39	30	63x	8x	Fintech
PAYTM IS	One 97 Communications	Transaction & Payment Processing Services	INR	1,275	9	66	(8)	24	47x	7x	Fintech
MMYT UW	MakeMyTrip	Hotels Resorts & Cruise Lines	USD	79	7	108	28	19	38x	5x	Internet (Travel)
KPITTECH IS	KPIT Technologies	Systems Software	INR	1,165	4	15	32	14	29x	4x	Electric Mobility
PTCIL IS	PTC Industries	Aerospace & Defense	INR	17,390	3	4	54	78	54x	13x	Defense Components
OLAELEC IS	Ola Electric Mobility	Motorcycle Manufacturers	INR	51	3	79	25	24	NM	3x	Electric Mobility
URBANCO IS	Urban Company	Specialized Consumer Services	INR	152	2	5	34	NM	195x	NM	Internet (Services)
TBOTEK IS	TBO Tek	Hotels Resorts & Cruise Lines	INR	1,497	2	5	28	37	34x	4x	Internet (Travel)
DATAPATT IS	Data Patterns (India)	Aerospace & Defense	INR	2,749	2	19	25	25	39x	12x	Defense Components
ASTM IS	Astra Microwave Products	Communications Equipment	INR	1,076	1	8	14	20	40x	6x	Defense Components
MAPMYIND IS	C.E. Info Systems	Application Software	INR	1,808	1	4	29	29	32x	11x	Internet (Navigation)
Median					**3**	**25**	**29**	**25**	**40x**	**6x**	

Note: Exposure based on GICS sub-industry classification or FactSet business description using keyword search; Valuations and growth forecasts are based on I/B/E/S and FactSet estimates. Pricing as of Nov 03, 2025.

Source: FactSet, I/B/E/S, Goldman Sachs Global Investment Research

4) High growth at reasonable valuation

An improving nominal GDP growth environment (Nominal GDP growth to rise to 11% by 2027 vs. 9% this year) should be supportive for corporate revenues and earnings. We expect MSCI India profit growth to recover from expected 10% this year to 14% next year. As earnings cycle recovers, we think growth will be in focus. We highlight 11 GS Buy-rated stocks that offer high earnings growth and profitability next year, and are trading at reasonable valuations. The screen offers median earnings growth and ROE of 31% and 24% respectively next year, and trades at a median PEG ratio of 1.5x, similar to MSCI India at 1.5x.

Exhibit 36: We highlight 11 GS Buy-rated stocks that offer high earnings growth and profitability next year, trading at reasonable valuations

					>$1bn	>US$3mn	>20%	>15%		<2.0x	<2.0	Buy
					Size and Liquidity		Growth & Profitability		Valuations			
BBG Ticker	Company Name	Sector	Quoted Price		Listed Market Cap (US$bn)	6M ADVT (US$mn)	2026E EPS Growth (%)	2026E ROE (%)	NTM P/E (x)	PEG Ratio (x) (CY25 PE / CY26 EPSg)	NTM P/E Z-Score (10Y)	GS Rating
GS Buy-rated High Growth Stocks at Reasonable Valuations							*(sorted)*					
PTCIL IS	PTC Industries	Aerospace & Defense	INR	17,390	3	4	147	28	54x	0.8x	0.8	B*
POWERIND IS	Hitachi Energy India	Industrials	INR	17,937	9	30	41	24	53x	1.7x	0.5	B
MAPMYIND IS	C.E. Info Systems	Automobiles	INR	1,808	1	4	32	24	32x	1.3x	-1.1	B
TBOTEK IS	TBO Tek	Internet	INR	1,497	2	5	32	25	34x	1.4x	-0.4	B
MMYT UW	MakeMyTrip	Internet	USD	79	7	108	31	41	38x	1.5x	-0.2	B*
COHANCE IS	Suven Pharmaceuticals	Health Care	INR	743	3	9	31	20	31x	1.3x	0.4	B
BHARTI IS	Bharti Airtel	Telecom	INR	2,074	133	158	28	28	27x	1.2x	-0.2	B
APHS IS	Apollo Hospitals Enterprise	Health Care	INR	7,825	13	36	28	24	39x	1.8x	-0.2	B
MNDA IS	UNO Minda	Automobiles	INR	1,261	8	11	26	20	43x	2.0x	1.7	B
DATAPATT IS	Data Patterns (India)	Aerospace & Defense	INR	2,749	2	19	26	19	39x	1.8x	-0.1	B
KEII IS	KEI Industries	Industrials	INR	3,982	4	14	21	15	32x	1.8x	1.4	B
Median					**4**	**14**	**31**	**24**	**38x**	**1.5x**	**-0.1**	

Note: Ratings as per GS analysts: B=Buy; B=on Conviction List; Valuations and earnings growth forecasts are based on I/B/E/S and FactSet estimates. Pricing as of Nov 03, 2025.*

Source: FactSet, I/B/E/S, Goldman Sachs Global Investment Research

Key Risks and Concerns

We highlight a few key risks to our constructive view on Indian equities:

1. **Domestic growth/ earnings faltering**: Our positive view is largely based on our expectations of a recovery in nominal GDP growth, from a revival in domestic consumption and a gradual improvement in private capex - which in turn flows through to corporate earnings. So any shortfall in growth/profit recovery will be a key fundamental risk.
2. **Continuing external headwinds**: Ongoing US tariff headwinds and tighter US immigration costs for H-1B visas (that affect Indian IT services) could keep macro uncertainty elevated and weigh on corporate investments.
3. **Global equity risk-off concerns**: Any pullback in the global equity markets, notably in the US due to high valuations and 'AI bubble' fears will impact Indian markets too via the sentiment and valuation channel – although our global strategists and US tech sector analysts believe that risks of a large drawdown are low.
4. **AI impact concerns:** One of the investor push backs on India this year has been the lack of any pure play AI beneficiaries in the market (although a few Indian IT and US tech companies have recently announced large data center investments in India). Investors also worry about potentially adverse impact of wide scale AI adoption on Indian IT sector and jobs. Our tech sector analysts think that these fears are overdone but, at the margin, downside risks to Indian IT seem slightly higher than upside risks. We think any renewed AI concerns could dampen foreign risk appetite towards India and particularly the Infotech sector.

Disclosure Appendix

Reg AC

We, Sunil Koul, Timothy Moe, CFA, Amorita Goel, CFA and Kamakshya Trivedi, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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